© 2023 Cengage Learning, Cengage Learning

Chapter Review

1-6l Make a Decision Ratio of Liabilities to Stockholders' Equity

MAD 1-1

Compare Amazon.com to Best Buy

Obj. 6 - Describe and illustrate the use of the ratio of liabilities to stockholders' equity in evaluating a company's financial condition.

Amazon.com, **Inc. (AMZN)** is one of the largest Internet retailers in the world. We will use Amazon as a continuing company exercise to reinforce the various tools and techniques for analyzing financial statements. We will begin with the ratio of liabilities to stockholders' equity.

Ratios can be used to compare companies in the same industry. For Amazon, there are a number of competitors that sell media, electronic, and other merchandise. **Best Buy, Inc. (BBY)** is one such company. The following total liabilities and stockholders' equity information (in millions) is provided for Amazon and Best Buy for the end of a recent year:

	Amazon	**Best Buy**
Total assets	$162,648	$12,901
Total liabilities	119,099	9,595
Total stockholders' equity	43,549	3,306

a. Compute the ratio of liabilities to stockholders' equity for each company. Round to two decimal places.

b. What conclusions regarding the margin of protection to creditors can you draw for these two companies?

MAD 1-2

Analyze Target for Three Years

Obj. 6 - Describe and illustrate the use of the ratio of liabilities to stockholders' equity in evaluating a company's financial condition.

Target Corporation (TGT) is one of the largest retailers in the United States. Target operates over 1,800 stores that sell a wide assortment of merchandise, including a variety of grocery items.

Target recently reported the following end-of-year balance sheet data (in millions):

	Year 3	Year 2	Year 1
Total assets	$41,290	$40,303	$37,431
Total liabilities	29,993	28,652	26,478
Total stockholders' equity	11,297	11,651	10,953

a. Compute the ratio of liabilities to stockholders' equity for all three years. Round to two decimal places.

b. What conclusions regarding the margin of protection to creditors can you draw from the trend in this ratio for the three years?

MAD 1-3

Analyze Walmart for Three Years

Obj. 6 - Describe and illustrate the use of the ratio of liabilities to stockholders' equity in evaluating a company's financial condition.

Walmart Inc. (WMT), a major competitor to **Target Corporation (TGT)** in the retail business, operates over 11,000 stores. Walmart recently reported the following end-of-year balance sheet data (in millions):

	Year 3	Year 2	Year 1
Total assets	$219,295	$204,522	$198,825
Total liabilities	139,661	123,700	118,290
Total stockholders' equity	79,634	80,822	80,535

a. Compute the ratio of liabilities to stockholders' equity for all three years. Round to two decimal places.

b. What conclusions regarding the margin of protection to creditors can you draw from the trend in this ratio for the three years?

MAD 1-4

Compare Target and Walmart

Obj. 6 - Describe and illustrate the use of the ratio of liabilities to stockholders' equity in evaluating a company's financial condition.

Using your answers for **Target Corporation (TGT)** in MAD 1-2 and **Walmart Inc. (WMT)** in MAD 1-3, compare and interpret Target's ratio of liabilities to stockholders' equity to that of Walmart.

MAD 1-5

Compare Wendy's and Chipotle Mexican Grill

Obj. 6 - Describe and illustrate the use of the ratio of liabilities to stockholders' equity in evaluating a company's financial condition.

The following total liabilities and stockholders' equity information (in millions) is provided for **The Wendy's Company (WEN)** and **Chipotle Mexican Grill, Inc. (CMG)** at the end of a recent year:

	Wendy's	Chipotle

Total assets	$4,292	$2,265
Total liabilities	3,644	824
Total stockholders' equity	648	1,441

Wendy's is a much larger company than is Chipotle; however, both companies compete in the fast food business.

a. Compute the ratio of liabilities to stockholders' equity for each company. Round to one decimal place.

b. What conclusion regarding the margin of protection to creditors can you draw for Wendy's?

c. What conclusions regarding the use of debt can you draw for Chipotle?

The annual report (10-K) assignment for this chapter is in Appendix C: Nike Annual Report, Chapter 1.

Chapter 1: Introduction to Accounting and Business: 1-6l Make a Decision Ratio of Liabilities to Stockholders' Equity
Book Title: Financial and Managerial Accounting
Printed By: Raydel Castro Guerra (raydel.castro001@mymdc.net)
© 2023 Cengage Learning, Cengage Learning

© 2026 Cengage Learning Inc. All rights reserved. No part of this work may by reproduced or used in any form or by any means - graphic, electronic, or mechanical, or in any other manner - without the written permission of the copyright holder.